

INTECH4100 – TECHNOPRENEURSHIP

Execution and Business Plan

OVERVIEW

In the previous lessons, we explored how entrepreneurs identify opportunities through value propositions, customer analysis, market research, and competitive advantage. These concepts help determine whether a business idea is worth pursuing.

However, having a good idea is only the beginning. Entrepreneurs must also determine how the business will operate, compete, generate revenue, and achieve its goals. To accomplish this, entrepreneurs prepare a Business Plan.

A business plan serves as a roadmap that transforms a validated idea into an executable venture. It guides decision-making, communicates opportunities to stakeholders, and provides a structured plan for business growth.

INTRODUCTION

Throughout this course, we have explored questions such as:

- What problem are we solving?
- Who are our customers?
- Why should customers choose our solution?
- What makes our product different from competitors?

These discussions help entrepreneurs determine whether a business idea is worth pursuing.

Once an idea appears promising, the next challenge is execution.

Consider the following situation:

A team develops a mobile application that helps farmers monitor crop health. Initial feedback from farmers is positive, and the team believes the application has potential.

- What should happen next?
- Should they immediately launch the product?
- Should they seek investors?
- Should they begin marketing?

Before making these decisions, entrepreneurs must develop a clear plan describing how the business will operate and grow. This plan is called a Business Plan.

FROM BUSINESS IDEA TO BUSINESS PLAN

Entrepreneurship is a process.

Businesses are rarely built by preparing a business plan first. Rather, entrepreneurs typically move through a series of stages before developing a detailed plan.



This progression helps ensure that business plans are built on evidence rather than assumptions.

WHAT IS A BUSINESS PLAN?

A Business Plan is a document that describes how a business will operate, compete, generate revenue, and achieve its objectives.

In simple terms:

- A business idea explains what you want to do.
- A business plan explains how you will do it.
- A business plan transforms an idea into a practical roadmap for implementation.

WHY IS A BUSINESS PLAN IMPORTANT?

A business plan serves several important purposes.

1. It Serves as a Reality Check

A business plan forces entrepreneurs to examine details that may have been overlooked.

Examples include:

- startup costs
- staffing requirements
- operational needs
- market limitations
- legal requirements

Many entrepreneurs discover hidden challenges while preparing their business plan.

Example

A startup may assume that developing a mobile application is inexpensive.

However, planning may reveal the need for:

- software developers
- servers
- maintenance
- customer support
- marketing

This reality check allows entrepreneurs to make better decisions.

2. It Reveals New Opportunities

Business planning often uncovers opportunities that were not obvious during the idea stage.

Examples:

- New customer segments
- Additional product features
- New services
- Expansion opportunities

Entrepreneurs frequently improve their original concept while developing a business plan.

3. It Serves as a Living Guide

A business plan is not a document that is written once and forgotten.

- Customer preferences change.
- Technology evolves.
- Competitors introduce new products.

Because of this, a business plan should be regularly reviewed and updated.

It is considered a living document that evolves with the business.

4. It Communicates the Business to Others

A business plan helps explain the venture to stakeholders.

Examples include:

- investors
- lenders
- strategic partners
- suppliers

These groups use the business plan to evaluate whether the business is worth supporting.

UNDERSTANDING STAKEHOLDERS

Different stakeholders evaluate business plans for different reasons.

Investors

Investors focus on:

- growth potential
- profitability
- scalability
- return on investment

Key Question

- Will this business grow and generate returns?

Lenders

Lenders focus on:

- repayment capability
- financial stability
- cash flow

Key Question

- Can this business repay borrowed funds?

Strategic Partners

Strategic partners focus on:

- collaboration opportunities
- future growth
- mutual benefits

Key Question

- Why should we work together?

Understanding stakeholder needs allows entrepreneurs to prepare more persuasive business plans.

PROOF OF CONCEPT (POC)

One of the most important elements of a business plan is Proof of Concept (POC). Proof of Concept is evidence that demonstrates the business idea works. Stakeholders rarely invest in ideas alone. They want proof.

Examples of Proof of Concept

- Functional prototype
- Pilot implementation
- Customer surveys
- User testing
- Customer interviews
- Actual users
- Actual sales

The stronger the evidence, the stronger the business plan.

Example

Weak Statement:

- Our application can help students study more effectively.

Strong Statement:

- Fifty students tested the application and 82% reported improved study organization.

The second statement is more persuasive because it is supported by evidence.

THREE QUESTIONS EVERY BUSINESS PLAN MUST ANSWER

Every entrepreneur should be able to answer three important questions.

1. What Do You Do?

What problem does the business solve?

Example: A startup develops a mobile application that helps patients schedule clinic appointments online.

2. Why Should People Care?

Why is the problem important and why is the solution valuable?

Example: Patients spend less time waiting and clinics operate more efficiently.

3. How Will You Win?

What makes the solution different from competitors?

Example: The application offers automated queue management and real-time appointment notifications.

These three questions help create a compelling business story.

COMPONENTS OF A BUSINESS PLAN

The following format may be used when preparing a business plan.

1. Executive Summary

Purpose: Provides a concise overview of the business.

Contents:

- Problem
- Solution
- Target market
- Competitive advantage
- Business opportunity

- Financial highlights
- Important Note

Although it appears first, the Executive Summary is usually written last because it summarizes the entire business plan.

2. SWOT Analysis

Purpose: Analyzes internal and external factors that affect the business.

Strengths: Internal advantages.

Examples:

- Innovative technology
- Skilled team
- Unique features

Weaknesses: Internal limitations.

Examples:

- Limited funding
- Small team
- Dependence on technology

Opportunities

External factors that can help the business grow.

Examples:

- Increasing market demand
- Emerging technologies
- Government support

Threats

External factors that may create challenges.

Examples:

- Competitors
- Regulatory changes
- Economic uncertainty

3. Unique Selling Proposition (USP)

Purpose: Explains what makes the business different from competitors.

Key Question

- Why should customers choose our solution?

Examples of possible USPs:

- Lower cost
- Better user experience
- Faster service
- Specialized expertise
- Innovative features

4. Competitive Landscape

Purpose: Examines the business environment and competing solutions.

Questions to Answer

- Who are our competitors?
- What are their strengths?
- What are their weaknesses?
- How are we different?

A strong understanding of competitors helps businesses develop effective strategies.

5. Pricing and Revenue Model

Purpose: Explains how the business intends to generate income.

Questions to Answer

- What will customers pay for?
- How much will they pay?
- What revenue sources exist?

PRELIMINARY REVENUE PLANNING

Although Business Models and Revenue Streams will be discussed in greater detail in the succeeding lesson, students may begin considering possible revenue sources.

Common Examples

- Subscription: Customers pay regularly for continued access.

Examples:

- Netflix
- Spotify Premium

Advertising

- Advertisers pay to reach users.

Examples:

- Facebook
- YouTube

Commission

- The business earns a percentage from transactions.

Examples:

- Shopee
- Grab

Product Sales

- Revenue comes from selling products directly.

Examples:

- Computer shops
- Online stores

Service Fees

- Revenue comes from providing services.

Examples:

- Software development
- Repair services
- Consulting

At this stage, these should be treated as preliminary assumptions subject to future refinement.

6. Financial Plan

Purpose: Determines whether the business is financially viable.

Components

- Startup costs
- Operating expenses

- Revenue projections
- Profit projections
- Return on Investment (ROI)

Important Considerations

- Financial projections should be:
- realistic
- evidence-based
- supported by reasonable assumptions

Exaggerated projections often reduce credibility.

7. Team

Purpose: Introduces the people responsible for executing the business.

Include:

- Team members
- Roles
- Responsibilities
- Qualifications
- Relevant achievements

A strong idea is important, but a capable team is equally important.

Many investors evaluate the team before evaluating the product itself.

8. Appendices

Purpose: Provides supporting information and evidence.

Examples

- Market research results
- Survey data
- System screenshots
- Technical specifications
- Financial computations
- Prototypes
- Product diagrams

The appendix strengthens the credibility of the business plan.

COMMON BUSINESS PLAN MISTAKES

Entrepreneurs frequently make avoidable planning mistakes.

1. Overestimating Growth

- Assuming unrealistic growth without supporting evidence.

2. Underestimating Costs

- Ignoring development, marketing, operational, or maintenance expenses.

3. Confusing Strategy and Tactics

Strategy: The overall direction of the business.

Example:

- Expand throughout Central Luzon.

Tactics: Specific actions used to accomplish the strategy.

Examples:

- Facebook advertising
- Influencer marketing
- Promotional campaigns

4. Competing Solely on Price

A business should not rely only on low pricing. Long-term success requires sustainable competitive advantages.

KEY TAKEAWAY

A business plan transforms a validated idea into an executable venture. It serves as a roadmap for business operations, communicates opportunities to stakeholders, demonstrates proof of concept, and provides a clear plan for growth. Successful entrepreneurs do not rely solely on innovative ideas; they support those ideas with evidence, realistic assumptions, strategic planning, and a capable team.

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